

The 9 most common reasons Mississippi Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Mississippi families a month of benefits — each with the Mississippi Medicaid citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. Mississippi Medicaid does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Mississippi private-pay rate — roughly **\$9,581–\$9,885**. Most families lose a month to this timing gap, not to ineligibility.

The 9 denial traps to check before you file

Every trap below is drawn from Mississippi Medicaid policy. Verify each against the citation shown before you submit the Medicaid application.

1

A resource (not income) is placed in the trust

Only the claimant's income may go into the Income Trust. Rule 5.17 provides that no resources (assets) may be used to establish or augment the trust; including a resource voids the trust exception. The trust is composed only of the claimant's pension, Social Security, and other income from all sources.

Source: MS Income Trust (Appendix A-8-1); 23 Miss. Admin. Code Pt. 103, R. 5.17

2

The claimant is named as trustee

Mississippi's rule states the individual cannot be the trustee of the Income Trust. A different person or entity must serve as trustee; the claimant is the Settlor only. Naming the claimant as their own trustee makes the trust structurally invalid.

Source: 23 Miss. Admin. Code Pt. 103, R. 5.17; Appendix A-8-1

3

Income exceeds the facility's private-pay rate

The Appendix A-8-1 trust provides that if the claimant's total income is in excess of the private-pay rate for a 31-day month, Medicaid eligibility is denied or terminated for that month. An income trust cannot restore eligibility for someone whose income is above the facility's private-pay rate — this is a real Mississippi planning limit.

Source: MS Income Trust (Appendix A-8-1)

4

The excess income is not paid to the Division of Medicaid on time

Income above the amount that is one dollar (\$1.00) less than the Medicaid institutional limit is payable to the Division of Medicaid within 30 days after the approval notice, and accumulated income must be paid at each annual review. Over-distributing, or failing to pay DOM the requested amount, breaks eligibility.

Source: Appendix A-8-1; 23 Miss. Admin. Code Pt. 103, R. 5.17

5

A disbursement not approved by the Division of Medicaid

Any disbursement from the trust that the Division of Medicaid has not approved results in loss of the trust exemption. The trustee distributes only the amounts DOM authorizes under the post-eligibility budget.

Source: 23 Miss. Admin. Code Pt. 103, R. 5.17

6

Missing or altered State-of-Mississippi payback clause

The form must name the Division of Medicaid as remainder beneficiary; on termination, accumulated trust income is paid to the 'Division of Medicaid, State of Mississippi' up to the total Medicaid paid. A missing or altered payback provision fails DOM's acceptance; the Appendix A-8-1 form already contains the required clause.

Source: MS Income Trust (Appendix A-8-1); 23 Miss. Admin. Code Pt. 103, R. 5.17

7

The trust is modified without Division-of-Medicaid approval

Once the Division of Medicaid accepts the Income Trust, it cannot be modified without DOM's approval. Unauthorized changes to the accepted trust break compliance.

Source: 23 Miss. Admin. Code Pt. 103, R. 5.17

8

A trustee fee is paid, or the administrative fee exceeds \$10/month

No trustee fee may be charged for serving the trust, and administrative fees are limited to actual bank charges, up to \$10 per month. Paying the trustee, or taking more than the allowed bank-charge amount, is a defect.

Source: 23 Miss. Admin. Code Pt. 103, R. 5.17; Appendix A-8-1

9

The trust is used on a temporary or intermittent basis

An Income Trust is not allowed on a temporary or intermittent basis except where the claimant's monthly excess income will be reduced at a future date. Setting one up for a single month or sporadically does not meet the rule.

Source: 23 Miss. Admin. Code Pt. 103, R. 5.17

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Mississippi Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if Mississippi Medicaid rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the Mississippi kit →](#)

Verify the sources yourself

- Official Mississippi Medicaid template — [Mississippi Administrative Code Title 23, Part 103, Rule 5.17 \(Income Trusts\) and Rule 5.18 \(Income Trust Legal Forms\)](#); statutory authority Miss. Code Ann. § 43-13-121; federal authority 42 U.S.C. § 1396p(d)(4)(B) / § 1917(d) of the Social Security Act
- Mississippi Medicaid policy manual — [Mississippi Division of Medicaid](#)

— James Whitfield, Miller Trust Guide · millertrustguide.com

Informational only. This checklist is not legal advice and is not a substitute for consultation with a licensed attorney. We are not a law firm and we do not practice law. We do not draft legal documents. State Medicaid rules vary and change; verify all information with Mississippi Medicaid and an attorney licensed in Mississippi before acting.